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EBIT/Interest Costs

This ratio is the interest coverage ratio, which means how many times the interest cost is covered by EBIT (earnings before interest and taxes).

Assuming that the entire EBIT is used, the time taken to repay the entire loan must not be greater than three years unless it is an asset intensive industry.

Also, in some cases, it is seen that companies usually rely on short-term borrowings more and thus have less long-term borrowings. In such cases, the percentage might be slightly higher.

Short term borrowings						
WACC for short term borrowings and repayment terms						
Short term borrowings(including current maturities)/ FCF	17.89%	-108.82%	13.82%	30.93%	10.42%	-68.23%
EBIT/ Interest costs	81.0	82.2	78.5	47.5	41.3	40.0

We see from the data for the EBIT that it can pay the interest cost 41 times in FY 2015. Similarly, for FY 2016, this number stands at 78.43 times, and so on. We can clearly conclude from this that short term borrowings and debt as a whole are under for the company.

If the coverage was 1.5x, the company had very little buffer over its interest obligations and slight hiccup might cause them problems.

We see that we have used total interest cost instead of cost relating to short term debt. If data is available for short term debt interest, we will use that instead of total interest costs. We must look at the data and check if the interest coverage ratio is more than 4. Here, it is seen that it is usually more, which is a great sign. Thus, short-term borrowings are not a problem for the company.